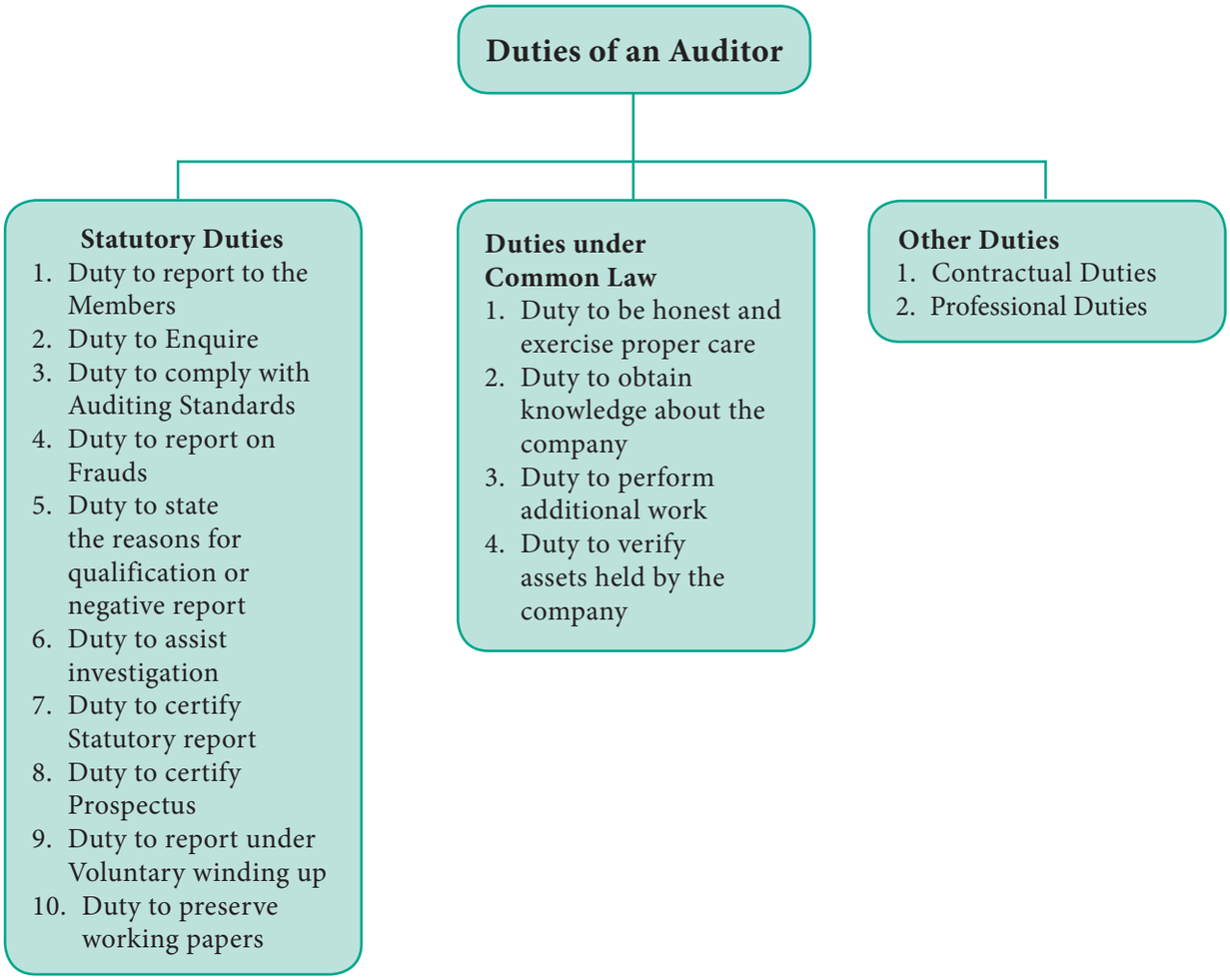
9.7 Duties of an Auditor [Sec.143]



9.7.1 Statutory Duties

1. **Duty to report to the Members [Sec.143 (3)]:**
   The auditor shall make a report to the members of the company on accounts and financial statements examined by him.
   The report shall state:
   a. Whether he has sought and obtained all necessary information and explanations.
   b. Whether proper books of accounts has been kept.
   c. Whether company's Balance Sheet and Profit and Loss account are in agreement with books of accounts and returns.
2. **Duty to Enquire [Sec.143 (1)]:**
   It is the duty to inquire into the following matters:
   - Whether loans and advances made by the company based on security have been properly secured and whether the terms on which they have been made are prejudicial to the interests of the company or its members.

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